National insurance contributions

Content

6. National insurance contributions for employed and self-employed persons

a) Explain and compute national insurance contributions payable: i) Class 1 and 1A NIC.ii) Class 4 NIC.

b) Understand the annual employment allowance.

1. NIC for the self-employed

The self-employed persons pay Class 4 NICs.

Class 4 contribution

Class 4 is based on taxpayer's trading income.

Taxable trading income £	Rate
1 – 12,570 per year	Nil
12,571 – 50,270 per year	6%
50,271 and above per year	2%

Lecture example 1

Jimmy and Jenny are both self-employed. Their trading profits for the tax year 2025-26 are respectively £25,000 and £58,000. In addition, Jenny has a transition profit of £2,000.

Calculate the Class 4 NIC suffered by Jimmy and Jenny.

2. NIC for employees

Class 1 employee

Contributions are based on cash earnings and suffered by employee.

Cash earnings £	Rate
1 – 12,570 per year	Nil
12,571 – 50,270 per year	8%
50,271 and above per year	2%

2. NIC for employees

Class 1 employer

- Contributions are based on cash earnings and suffered by the employer.
- For the employer, Class 1 employer NIC is a deductible expense under trading profit.

Cash earnings £	Rate
1 – 5,000 per year	Nil
5,001 and above per year	15%

2. NIC for employees

Cash earnings

- Salary, bonus etc.
- Employer reimburses the use of car:

  Actual reimbursement paid by employer — business miles × 45p

- Cash voucher and non-cash voucher

2. NIC for employees

Annual employment allowance

- Businesses can claim the annual employment allowance to reduce the amount of employer's class 1 NIC which is paid to HMRC.
- The allowance is £10,500 per year per employer.
- It does not affect the amount of class 1A or class 1 employee NIC that is payable.
- If the class 1 employer contribution would otherwise be less than £10,500 then the allowance will reduce the employer's class 1 NIC to nil.
- No annual employment allowance is given to companies where a director is the only employee.
- Class 1 contributions are collected under the PAYE system.

2. NIC for employees

Class 1A

- The employer is required to pay Class 1A contributions for employees provided with taxable benefits.
- Taxable benefit×15%
- For the employer, Class 1A NIC is a deductible expense under trading profit.
- Class 1A contributions payment deadline:
- Electronically: 22 July following the tax year
- Cheque: 19 July following the tax year

Lecture example 2

Simone Ltd has three employees who are each paid £60,000 per year.

One of the employees was provided with the following taxable benefits during the tax year 2025-26:

	£
Company car	6,300
Car fuel	6,125
Living accommodation	1,800

Calculate the Class 1 and Class 1A NIC suffered by Simone Ltd and each employee.

Tax planning -NIC

Tax planning -NIC

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Quizzes(self-practice)

Quiz 1

Phan is employed by Popaa Ltd, earning an annual salary of £40,000. He was also provided with the following benefits during the tax year 2025-26:

Company car	£9,000
Car fuel	£6,000

Parking space at work, which saves Phan £2,000 in parking costs

What is the class 1A contributions due by Popaa Ltd in relation to Phan's salary and benefits?

1.A.£2,250

2.B.£1,242

3.C.£2,346

4.D.£6,334

Quiz 1-A

The correct answer is **A**.

	£
Company car	9,000
Car fuel	6,000
Parking – exempt benefit	0
	15,000
Class 1A × 15%	£2,250

Quiz 2

Nino is self-employed and has been trading for several years. His adjusted trading profits for the tax year 2025-26 are £70,000.

What class 4 national insurance contributions are payable by Nino for the tax year 2025-26?

A.£4,200
B.£2,657
C.£3,446
D.£6,176

Quiz 2-A

The correct answer is **B**.

Class 4:	
(50,270 − 12,570) × 6%	2,262
(70,000 − 50,270) × 2%	395
	2,657

Quiz 3

Which of the following statements are true?
(1) An employee will generally pay slightly less national insurance contributions than a self-employed person
(2) All employers are entitled to claim the annual employment allowance
A.1 only
B.2 only
C.Both 1 and 2
D.Neither 1 or 2

Quiz 3-A

The correct answer is **D**.
A self-employed person will generally pay slightly less national insurance than an employee. Not all employers can claim the annual employment allowance, those where the director is the only employee with earnings subject to class 1 NIC, and those whose liability exceeded £100,000 in the previous year are not eligible.



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